

Outlook

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Follow-up: the pass/fail line may be hiding fragile approvals

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Could the answer be that product and term explain the outcome? Or are we actually seeing that verified expenses or income quality create the main uncertainty? I also do not want us to miss the possibility that thin discretionary income predicts later stress.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use February 2022 as the new evidence point rather than recycling the earlier conclusion. The practical decision is whether policy buffers, verification or monitoring should change. Please send a Power BI page with drill-through to a reproducible case list; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Regards